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Judicial Panel on Multidistrict Litigation

IN RE TEXAS OPIOID LITIGATION

JOINT REPLY IN SUPPORT OF DEFENDANTS' MOTIONS TO TRANSFER

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[*] By joining in this Reply, AmerisourceBergen Corporation does not concede that it is a proper party, and it is not.

JOINT REPLY IN SUPPORT OF DEFENDANTS' MOTIONS TO TRANSFER

Plaintiffs[1] do not, and cannot, dispute that the cases brought by Texas Counties against prescription opioid manufacturers and distributors involve common questions of fact and law. As such, coordinating the cases before a single court for all pretrial proceedings will promote efficiency, avoid duplicative discovery and inconsistent rulings, and conserve judicial and party resources.

Though Plaintiffs acknowledge that their cases "may" meet the criteria for transfer to an MDL pretrial court, including that the cases are related for purposes of Rule 13, Plaintiffs object to the pending Motions to Transfer as purportedly "procedurally defective" because the original Motions did not include some related cases. This argument is meritless. First, a motion to coordinate cases in an MDL is not defective merely because it does not include every related case that may later be added. Rule 13 contemplates that after an MDL proceeding is created, later actions may be added as tag-along cases. Plaintiffs cite no case law supporting their claim that the Motions are improper merely because they do not include every possible related case.

[1] In this Reply, Defendants address the arguments raised by the Counties of Dallas, Delta, Falls, Hopkins, Travis, and Van Zandt ("Plaintiffs") in Plaintiffs' Joint Response to Defendants' Motion to Transfer and Request for Immediate Stay ("Response"). Defendants will file a separate reply to address Bexar County's Response to Defendants' Joint Motion to Transfer.

More to the point, Defendants[2] filed a supplement to the original Motions adding cases identified by Plaintiffs.[3] For each of the cases added in the Supplement, Defendants contacted the parties to the case to inform them of the supplemental filing, and no party has filed or requested to file a response.

In addition to Plaintiffs' procedural arguments, in their Response, Plaintiffs attempt to influence the Panel's selection of an MDL court or location for the MDL proceeding. Precedent decisions from the Panel, however, plainly state that the Panel does not need or want parties to a potential MDL proceeding to propose judges to handle the coordinated pretrial proceedings. In deference to that precedent, Defendants did not make such proposals. If, however, the Panel is inclined to entertain Plaintiffs' suggestions, Defendants respectfully request leave to make a further submission in response to Plaintiffs' proposal.

I. Plaintiffs do not contest that the Texas opioid cases meet the criteria for coordination.

Plaintiffs do not challenge Defendants' contention that the cases brought by Texas Counties against prescription opioid manufacturers and distributors should

[2] Defendants include the signatories below. Defendant Cephalon, Inc. joins this Reply in an abundance of caution, as it was named as a party to *Maverick County, Texas v. Purdue Pharma, L.P.*, No. 17-10-34909-MCVAJA in the 365th District Court of Maverick County. *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A (filed May 1, 2018) (incorporating this case into the MDL Motion).

[3] *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A (filed May 1, 2018)*;* Defs.' Joint Supp. to Defs.' Mots. to Transfer ("Supplement"), at Supp. App'x A (filed May 10, 2018).

be transferred to a pretrial court because: (1) the cases involve common questions of fact; (2) coordinated written and document discovery would be more efficient than proceeding in multiple courts; (3) coordination would promote consistency among pretrial rulings; and (4) the demands on the time and resources of parties and witnesses would be minimized.[4] Therefore, Plaintiffs do not contest that the Texas opioid cases meet the requirements for an MDL proceeding.

Plaintiffs argue, without support, that the Panel cannot evaluate the propriety of transferring the identified cases until five actions that "involve similar issues" are added to the Motions to Transfer and the interested parties in those cases have an opportunity to be heard.[5] But Defendants have already added those five actions,[6] and as detailed in their Supplement, Defendants conferred with the parties

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[4] *See* Defs.' Joint Mot. to Transfer ("Manufacturers' Motion to Transfer") (filed Apr. 20, 2018)*;* Distributor Defs.' Joint Mot. to Transfer*;* Defs.' Joint Supp. to Defs.' Mots. to Transfer.

[5] *See* Pls.' Joint Resp. to Defs.' Mot. to Transfer and Request for Immediate Stay, at 2-4.

[6] In their Motion to Transfer, the Distributors included *County of Hidalgo v. Purdue Pharma, LP*, No. C-1349-18-C in the 404th District Court of Hidalgo County into the MDL Motion. *See* Distributor Defs.' Joint Mot. to Transfer, at App'x A. This Panel has already stayed this action. In the Supplement filed the same day as Plaintiffs' Response, the Manufacturers and Distributors incorporated *County of Burleson v. Purdue Pharma LP*, No. 29267 in the 335th District Court of Burleson County; No. 2018-DCL-02237-G; *County of Cameron v. Purdue Pharma LP* in the 404th District Court of Cameron County; *County of Liberty v. Purdue Pharma LP*, No. CV1813222 in the 75th District Court of Liberty County; and *County of Waller v. Purdue Pharma LP*, No. 18-04-24828 in the 506th District Court of Waller County, as well as six other actions. *See* Defs.' Joint Supp. to Defs.' Mots. to Transfer, at Supp. App'x A.

to those actions and stated their positions as to the MDL Motions.[7] None of the parties to the five additional actions filed or requested to file a response to the Motions to Transfer.

Even if Defendants had not added the five later-filed cases, the Motion to Transfer would still be proper under Rule 13. Rule 13 states that a motion for transfer to a pretrial court must "state whether all parties in those cases for which transfer is sought agree to the motion . . . ." *See* Tex. R. Jud. Admin. 13.3(a)(3). In the Manufacturer Defendants' Motion, they identified six cases "for which transfer was sought" and stated the position of the parties to those cases.[8] Unable to dispute this, Plaintiffs instead complain that Defendants' Motion did not state the position of parties to cases for which transfer was not sought at the time the Motion was filed. Although Defendants went above and beyond the requirements of the Rule in identifying future cases for which transfer might later be sought, that did not alter the plain requirements of Rule 13. Plaintiffs do not identify any portion of the Rule or any case law supporting their position to the contrary.

In addition, Rule 13 expressly contemplates that once an MDL is established, additional cases may be added to the proceeding. Rule 13.5(e) provides a procedure for adding tag-along cases—cases not originally included in

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[7] Defs.' Joint Supp. to Defs.' Mots. to Transfer, at Supp. App'x D.

[8] Defs.' Joint Mot. to Transfer, at App'x D.

the Motion to Transfer—to an existing MDL proceeding. Parties to a tag-along case may object to the transfer for a period of time after a tag-along notice is filed. *See* Tex. R. Jud. Admin. 13.5(e). Again, Plaintiffs fail to identify any Rule or precedent that supports their position that the tag-along procedure does not provide parties to a later-filed case sufficient protection and opportunity to object to coordination of that later-filed case.

II. The MDL Panel is best positioned to select and appoint a pretrial judge.

The MDL Panel has clearly stated that "the decision [of selecting the pretrial judge] rests solely within the discretion of the MDL Panel." *In re Petroleum Wholesale Litig.*, 339 S.W.3d 405, 410 (Tex. M.D.L. Panel 2009). Accordingly, the Panel has indicated that it disfavors parties recommending that a pretrial proceeding be heard in a particular county or by a particular judge. As the Panel has observed, such recommendations are inappropriate because MDL proceedings are not meant to facilitate "forum shopping" or "the appearance of forum shopping." *See In re Alcon S'holder Litig.*, 387 S.W.3d 121, 125 (Tex. M.D.L. Panel 2010) (quoting *In re Petroleum Wholesale Litig.*, 339 S.W.3d at 409).

Despite the Panel's clear statements on this issue, Plaintiffs offer their suggestions to the Panel on the appropriate MDL court and location.[9] Plaintiffs

[9] The forum suggestion by the Texas Attorney General submitted in its procedurally improper Amicus Curiae Letter Brief, at 1 (filed May 10, 2018), should also be disregarded. The Texas Attorney General's lawsuit which asserts a single claim against a single manufacturer *(cont'd)*

also criticize Defendants for following the Panel's directives rather than "cooperating" with Plaintiffs to attempt to identify mutually agreeable judges or forums. It is true that Defendants neither made their own recommendations nor attempted to coordinate recommendations with Plaintiffs. Defendants declined to do so in light of the Panel's guidance on this issue.

If, however, Defendants have misinterpreted the Panel's guidance on this point and the Panel is inclined to consider recommendations from the parties, Defendants respectfully request the opportunity to submit their own recommendations to the Panel.

III. CONCLUSION

For the foregoing reasons, Defendants' Motions to Transfer the related Texas opioid actions identified in Manufacturers' Appendix A, Distributors' Appendix A, and Supplemental Appendix A to a pretrial court for coordinated pretrial proceedings should be granted.

(cont'd from previous page)

family is not subject to the current MDL petition and should not be considered in determining whether to coordinate the identified cases brought by Texas Counties.

Dated: May 21, 2018

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

Pursuant to Texas Rule of Appellate Procedure 9.4(i)(3) and Texas Rule of Judicial Administration 13.3(e), I hereby certify that this reply is a computer-generated document created in Microsoft Word, using 14-point typeface for all text, except for footnotes, which are in 12-point typeface. According to Microsoft Word's word-count function, the sections of the foregoing covered by Texas Rule of Appellate Procedure 9.4(i)(1) contain 1,928 words.

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CERTIFICATE OF SERVICE

I certify that on May 21, 2018, I e-filed this document, which the MDL administrative staff will send to the MDL Panel. I further certify that true and correct copies of this document were sent via email to all counsel for parties in the cases listed in Manufacturers' Appendix A, Distributors' Appendix A, and Supplemental Appendix A and sent via Certified Mail to *pro se* parties in the cases listed in Manufacturers' Appendix A, all as required by Rule 13.3(f) and (h). No copy was sent to Howard Gregg Diamond, because his contact information is unknown.

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